Harvesting Value from Closed Blocks

An executive briefing on the business issues, opportunity costs and benefit realization of the life insurance company's largest untapped asset

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Presented by Andesa Services, Inc.

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Abstract

What should a Life/Annuity company do with a closed block portfolio of complicated, benefit-rich, high-maintenance policies/contracts? The simple answer: optimize.

Optimizing the value of closed blocks is a strategic imperative. Closed blocks are an ideal target for companies looking to liberate financial and human resources. Moreover, improving the margins on portfolios not actively sold has a positive impact on top and bottom line performance.

As elevated unit costs are a function of high expenses and low volumes, a particular subset of closed blocks stands apart, particularly ripe for address. These blocks often share the following characteristics:

- Modest volumes of policies/contracts
- Products designed to meet the needs of a narrow target market
- Harbor unique benefits and esoteric features
- Demand highly skilled business people and custom technology solutions

This white paper provides closed block insights and discusses optimization tactics to help the Life and Annuity company maximize its return on closed block It specifically defines the best solution to cost effectively manage the most vexing closed block portfolios.

In short, the optimal solution for closed blocks maximizes margin, unlocks latent value and delivers capital to fuel strategic initiatives. The successful solution is rooted in preservation of the policyholder – carrier relationship while leveraging technological efficiency offered by a modern solution. Allowing the insurance company to maintain intimate customer contact and employ the power of a low-cost technical platform is the ideal mix of insurance company and outsourcing vendor capabilities.

As such, the SaaS / ASP model is the most powerful solution for closed blocks, especially the portfolio of complicated, benefit-rich, high-maintenance policies/contracts.

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Premise

Life and Annuity companies can free capital to help fund strategic initiatives by reducing non-core Operations and IT costs. Closed blocks are the most fertile source of untapped financial assets and human resources.

Condition

Many Life/Annuity companies have a number of Closed Blocks, loosely defined as a group(s) of policies no longer actively sold and positioned for run out. Improving margins on in-force blocks, especially on non-core portfolios not actively sold, has a positive impact on top and bottom line performance.

The growth of Closed Blocks is attributed to a number of drivers. They include:

- Ceased sales due to performance
  - Poor pricing
  - Lack of scale
  - Capital constraints
  - Lapse rates
  - Mortality / morbidity
- Change in corporate strategy
  - Shed or shutter non-core assets
  - Demutualization
- Regulatory changes
- Market shifts
- Mergers and acquisitions
  - Redundant systems and functions
  - Non-strategic portfolios
- Technology and product evolution
  - IT innovation makes technology obsolete and promises efficiency
    - Mainframe→
      - Client/Server→
        - Distributed/Internet
    - Assembler→
      - COBOL→
        - HTML/XML
  - Product innovation often requires new and more robust system capabilities
    - Traditional→
      - Universal Life→
        - Variable

Closed blocks come in all shapes and sizes, for example:

- Large blocks of traditional, sometimes termed ‘ordinary’, business.
  Often these are relatively simple term, whole life and even universal life product designs. The volume of these blocks may range from 100,000 policies to millions of policies. These blocks often carry massive reserves and account for significant recurring premium.

- Small blocks of niche, often complex, products.
  These products are generally targeted to meet a specific market segment. They tend to have complex designs with certain "bells and whistles" which were designed to attract a particular customer. The volume of these blocks may range from a few hundred policies up to 50,000 - 100,000 policies. The compromised volume may be attributed to a limited target market or the product design was not widely accepted by the intended audience,

For those portfolios that have scale, the insurer has viable operational and financial alternatives:

- If the carrier wants to maintain the block in-house, it has sufficient scale to warrant ongoing investment.
- If the carrier wants to outsource the block, most outsourcers will gladly assume large, homogeneous blocks because they can leverage similar competencies across multiple carriers and realize economies of scale.

However, the small closed block, with its inherent complexities and relatively modest scale, poses a challenge to the insurer; i.e., how to maximize the block's value in light of its unique characteristics?

- Typically, these blocks require highly skilled resources to service the block due to the nature of the product's benefits and provisions.
- Small blocks often operate on purpose-built and highly-customized systems which tend to be non-core, non-strategic IT platforms.
- The customer base may be affluent with high service expectations.
- The portfolio may hold significant assets and/or hold potentially valuable client relationships.
- As these blocks increase in number, service teams become fragmented and operational efficiency decreases.

Due to regulatory changes, markets shifts and product obsolescence, these closed blocks are an ever increasing portion of a Life/Annuity company's portfolio. A carrier is forced to deal with non-core, non-strategic blocks of business. This creates two basic challenges. First, it diverts the carrier's focus from product development and strategic initiatives. Secondly, the carrier is faced with a cost structure that continues to increase over time even though the block of business typically diminishes as time progresses. A number of factors contribute to this phenomenon:

- Service standards must be maintained.
  The carrier must continue routine spending to maintain service standards to retain customers and safeguard its reputation.
- Manual processes proliferate.
  Most system initiatives focus on expeditiously getting a product on the street for new business (open portfolio). Many "Day 2" system enhancements for Closed Blocks are delayed or cancelled. Spreadsheets and manual processes are introduced to compensate and off-set the Day 2 back-log.
- Systems become antiquated.

Systems used to maintain these blocks of business often become antiquated and more costly to maintain as time progresses, In addition, the cost of maintaining the systems are not directly proportional to the number of polices on the system. It costs as much to maintain a system for 1,000 policy as it does for 50,000 policies.

- Costs of technical resources continue to increase.
  Since the risks of losing institutional knowledge on these systems is significant, a carrier will often pay more to retain these "technical experts" who are constantly lured by the attraction of newer and more interesting technologies.

Alternatives

Life/Annuity companies have various options to optimize the value of Closed Blocks.

- Reduce investment in the legacy system.
  A reduction in legacy system spend will deliver expense savings and these savings can be directed towards investment in new products and services. However, operational costs are adversely impacted by the lack of IT investment as workarounds and manual processes are introduced to compensate.
- Reduce head count associated with the closed block.
  A reduction in headcount will deliver expenses savings but staff reduction can result in deteriorating customer service and a stressed workforce. Compensating investments in technology can help offset FTE reduction.
- Do process reengineering (ex. Lean Six Sigma),
  This approach can deliver operational improvements and yield savings. However, real expense reductions come from optimizing processes through automation. If a commensurate IT investment does not accompany the BPR exercise, gains are limited.
- Sell the closed block.
  Life/Annuity companies may not want to surrender the associated surplus and part with some of their customer base. However, they lose scale, cross-selling opportunities and the opportunity to convert the closed block to a better, more profitable product.
- Consolidate systems internally.
  System consolidation requires converting policies to a common platform. The migration is often challenging (lack of historical documentation, poor data quality, resource contention, etc.) and very costly with large project overruns being the norm. Consequently, most insurers conclude that a positive business case can not be made for a block that is non-strategic and is running off.
- Outsource the block of business.
  It is widely accepted that contracting for outsourcing IT and professional services is a cost-effective option for handling specified business functions and/or managing technical commodities like data center, hardware, software and business application support and maintenance.

A carrier has a number of options available if it chooses to outsource a closed block of business. Those options include:

- ITO - Delegating some (or all) of the IT functions to one or more external partner(s).
- BPO - Delegating some (or all) of certain business functions to one or more external partner(s).
- ASP - Remote access to business applications that are supported and hosted by the authoring third party. The application (s) are multi-tenancy.
- SaaS – Remote access to web-native applications that are hosted by the authoring third party. The application is single tenancy.

Outsourcing Options – A Life Insurance Comparison

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SaaS **Software as a Service**	**ASP** **Application Service Provider**	**BPO** **Business Process Outsourcing**	**ITO** **Information Technology Outsourcing**

Insurance business operations performed by insurance company personnel using business applications offered by the third-party outsourcer.
 	
Candidates include:
▪ Sales force automation
▪ Client relationship management
▪ Web-based illustrations (run by authorized distributors of the insurance company)
▪ Web-based policy holder self-service transactions
▪ Web-based policy inquiry and on-line reporting
 	
Underlying hardware and software platform supported by outsourcer in secure data center.
 	
Proprietary third party software; right to use granted by third party.
	Insurance business operations performed by insurance company personnel using business applications offered by the third-party outsourcer.
	
	Candidates include:
	▪ Illustrations run by authorized distributors of the insurance company
	▪ Policy holder service transactions executed by insurance company staff
	▪ Proprietary illustration and policy administration applications supported by the outsourcer
	
	Underlying hardware and software platform supported by outsourcer in secure data center.
	
	Proprietary third party software; right to use granted by third party.
		Insurance business functions are executed by a third party on behalf of the insurance company.
		
		Candidates include:
		▪ Finance / accounting
		▪ Human resource management
		▪ Investment management
		▪ Customer care / call center support
		▪ Underwriting
		▪ Back office operation
		  ○ Data entry
		  ○ Premium services
		  ○ Document management
		
		Underlying hardware and software may be hosted by either party.
		
		Software ownership may reside with either party.
		
		Professional services conducted by third party; may require licensed personnel.
			Information technology (or pure technical functions) are supported or managed by a third party on behalf of the insurance company.
			
			Candidates include:
			▪ Any or all parts of a SDLC practice area:
			  ○ Coding
			  ○ Testing
			  ○ Re-engineering
			  ○ Maintenance
			  ○ Application development
			  ○ Web site development
			▪ Remote monitoring and maintenance, product support, IT security, network monitoring and management, etc.
			
			Underlying hardware and software may be hosted by either party.
			
			There is no ownership consideration of software.

Wholesale IT outsourcing (a.k.a. "Lift and Shift", Application Management Agreement, or ITO) certainly reduces the IT wage cost component when an offshore provider is elected, but many companies find that certain business processes can not be easily moved offshore because they rely on paper and "tribal" knowledge. Also, when sourced offshore, remote application management, language and cultural issues sometimes prove problematic.

Business Process Outsourcing, or BPO, will also reduce the wage cost component when an offshore provider is elected for commoditized business processing. However, companies find that complex insurance products and processes do not translate well to a third party (regardless of situs). Moreover, under a BPO arrangement, the insurance company loses direct contact with their customer which can lead to an erosion in client care and lost sense of 'feel' for the insurance company's constituency.

The adoption of the SaaS (Software as a Service) model, and its closely related Application Service Provider (ASP) model, has demonstrated that a qualified outsource vendor can provide mission-critical applications in a secure, low-risk business arrangement with favorable price points and terms.

Employing the SaaS / ASP model to support Closed Blocks requires a conversion to the outsourcer's business platform. The business case for migrating policy data from a legacy system to a new platform historically has proved problematic, as the potential for exorbitant cost, daunting scope and projected time lines are often deemed untenable. As such, the perceived risks associated with conversions have induced insurance companies to maintain the status quo and abandon strategic platform initiatives that involved data migration. But times have changed, and the benefits of Closed Block conversion are too great to dismiss. Moreover, a holistic view of conversion, one that contemplates various hard and soft benefits (ex. risk mitigation for incumbent platform, reapplying highly skilled resources to strategic business initiatives, strategic consolidation platform, adding new products to the new technology platform) can often build a compelling and viable business case.

A key aspect to the SaaS / ASP model is that the insurance company maintains complete control of the business processing functions and preserves day-to-day interaction with the client and producer.

Market data attests to this fact. In Celent's report: **Approaching the Boiling Point: BPO, SaaS in Insurance**, (http://www.celent.com/reports/approaching-boiling-point-bpo-saas-insurance) ten areas of outsourcing concern were surveyed. Celent asked, "If your company were to outsource core policyholder and agent services, which of the following would be your top 3 areas of concern?" The results are in the table below.

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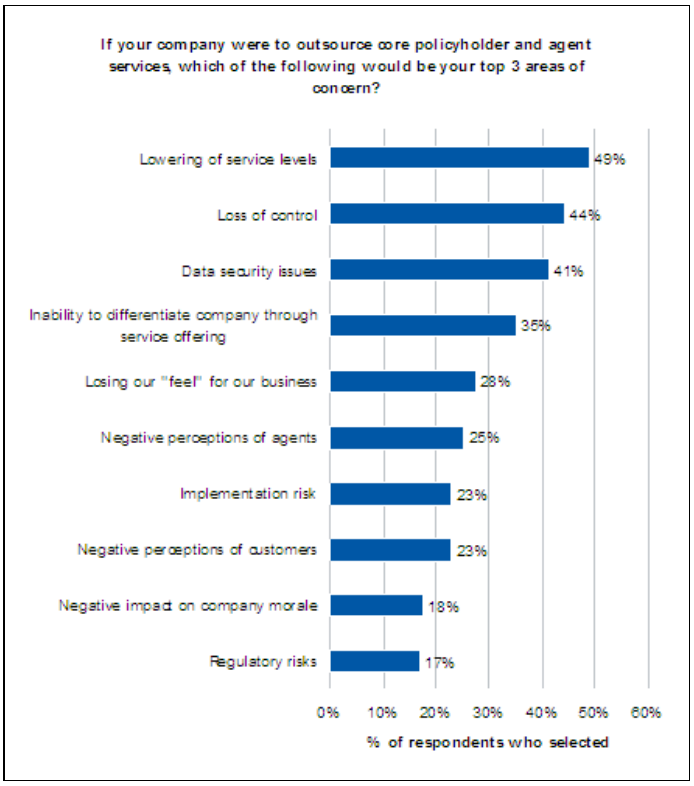
I am not willing to spend that fee. Instead, let's include the link to the report.

Kelly, if you could do some creative engineering on the results and weave them into the body, that would be great.



The Celent findings indicate that the most desirable outsourcing solution should have the following attributes:

- Maintain (and guarantee) services levels, possibly through binding Service Level Agreements
- Give the insurance company control of critical functions (ex. client facing processes like underwriting, call center and claims adjudication)
- Provide audited data security (SAS70, SSAE16), disaster recovery (redundant data centers), and business continuity (periodic joint testing)
- Allow the insurance company to tailor its outsourced services to meet the needs of its customers; let the outsourcer provide the IT commodity and augment services on request
- Allow the insurance company to keep its customer service staff in direct contact with their constituents
- Partner with an outsourcing firm with a strong marketplace reputation that works behind the scenes using the insurance company branding
- Choose an outsourcing firm with a proven delivery track record, that is financially fit and who provides an array of clients that are available for reference

- Embrace an outsourcing model that insulates the end-customer from the outsourcer so the insurance company can manage the ongoing client contact
- Structure an outsourcing relationship that minimizes the displacement of insurance company personnel but still delivers powerful cost savings
- Engage with an outsourcer that provides services and solutions that meet or exceed state and Federal regulations

The above attributes clearly point to an outsourcing expert that specializes in a SaaS / ASP solution.

The Optimal Solution – SaaS / ASP

The best solution for Closed Blocks maximizes margin, unlocks latent value and delivers capital to fuel strategic initiatives. Success is rooted in preservation of the policyholder/ carrier relationship while leveraging technological efficiency. Allowing the insurance company to maintain intimate customer contact and employ the power of a low-cost, modern technical platform is the ideal mix of insurance company and outsourcing vendor capabilities. As such, the ASP model is the most powerful solution for Closed Blocks.

Getting Started

To overcome the 'do nothing' inertia and capitalize on the abundant benefits of Closed Block conversion, insurance companies should look to an outsourcing partner with the following attributes:

- Portfolio rationalization experience.
  Perform an assessment of business product portfolios to establish a business-centric modernization strategy and roadmap.
- Proven conversion methodology.
  Craft a realistic project plan and execute with ruthless precision
- Proprietary conversion tools.
  The outsource solution provider has complete control over the people and tools used to perform the conversion
- Modern technology.
  Ensure that the insurance company is not converting to something that is already outdated; the solution is 'evergreen'.
- Platform flexibility.
  The new system must have the ability to adroitly handle a myriad of product nuances due to system architecture and a vast library of technical components, business functions and well-articulated processes. A flexible system will minimize conversion cost. Plus, a flexible system could become a consolidation platform for many lines of business.
- Support for individual and group products.
  The ability to span traditional business silos offers inherent leverage and scale across an enterprise which helps drop unit costs.
- Proven case studies and client references.

Multiple references for production support of scores of Life and Annuity products minimizes risks and provides assurance that the outsourcing partner will deliver as promised.

About Andesa Services

Since 1983 Andesa has specialized in managing complex life and annuity portfolios by providing leading technical solutions and business services made available through a SaaS / ASP delivery model.

Andesa's systems are perfectly suited to handle the most complicated life and annuity products and our efficient operation allows us to keep our outsourcing costs to a minimum.

Six of the top ten life and annuity companies in the United States leverage the outsourcing and professional service capabilities of Andesa to provide cost-effective solutions for their portfolios.